

Hotels

Price per available room

Let us study an **Indian Hotel Company.**

Indian Hotels Co Ltd ₹ 226 -0.20% 30 Jul 2024					
ihctdata.com BSE: 500850 NSE: INDHOTEL					
Market Cap	₹ 32,030 Cr.	Current Price	₹ 226	High / Low	₹ 269 / 129
Stock P/E		Book Value	₹ 49.7	Dividend Yield	0.18 %
ROCE	1.21 %	ROE	-5.45 %	Face Value	₹ 1.00
Add ratio to table eg. Promoter holding					
EDIT RATIOS					

Market Cap
= **Rs. 32,030 Cr.**

Source: screener.in

KPI= Total number of rooms in The Indian Hotel Co. Ltd. Let us assume it has 4000 rooms. We get 32,030 cr.(market cap) / 4,000(rooms). So we can say the company will be valued at 8 Cr. per room. Similarly, the market cap = Rs. 4,060 Cr. and the number of rooms = 1,000 rooms for Lemon tree Hotel. We get Rs. 4,060 Cr.(market cap) / 1,000 (rooms) which makes the valuation to about 4 Cr. per room. (All numbers hypothetical)

Let us study an **Lemon Tree Hotels Ltd.**

Lemon Tree Hotels Ltd ₹ 65.2 -3.10% 26 Jul 2024					
lemontreehotels.com BSE: 541233 NSE: LEMONTREE					
Market Cap	₹ 5,169 Cr.	Current Price	₹ 65.2	High / Low	₹ 71.4 / 36.0
Stock P/E		Book Value	₹ 10.5	Dividend Yield	0.00 %
ROCE	0.97 %	ROE	-10.0 %	Face Value	₹ 10.0
Add ratio to table eg. Promoter holding					
EDIT RATIOS					

Market Cap
= **Rs. 5,169 Cr.**

Source: screener.in

When these 2 companies are compared we find that:

The Indian Hotel Co. Ltd. lends its room for Rs 6,000 per night, which can be considered as luxury rooms. Whereas, Lemon Tree Hotels charge Rs 2,000 per night, i.e. they are budget rooms.

Conclusion

- We can conclude that Lemon Tree is more cost-effective hotel for the consumer as compared to Indian Hotel Co. Ltd. The business characteristics are also different. Indian Hotel require more capital per room but can generate more revenue per room too. If we dig further we will find the reason for difference in their multiple.

Social Media

Price per User

KPI is number of Users